

Prerequisites

Prior to the creation of an STP Lodgement, the following prerequisites must be met:

1. 2cloudnine Payroll users must be running the Salesforce Lightning Experience.
2. Ensure that a Pay Batch is processed successfully and its status is Payment File Released.
3. Registration is required with SuperChoice for each Payment Entity, prior to sending any Single Touch Payroll Lodgement files to the ATO. The system will present an error if you try to submit a Single Touch Payroll Lodgement that doesn't have a Payment Entity registered with Superchoice. You can register using the links below:
 - Sandbox: <https://www.test.employerpay.com.au/2cloudnine>
 - Production: <https://www.employerpay.com.au/2cloudnine>
4. 2cloudnine Payroll uses SuperChoice as the Sending Service Provider to manage data transfer between Salesforce and the ATO.
5. An end-user cannot lodge any lodgement record multiple times unless an Update Event or Full File replacement is initiated.
6. ATO requires that an end-user MUST lodge a Single Touch Payroll Pay Event on/or before the Payment Date.
7. Payroll users submitting the data to the ATO via Lodgements must be set up as Authorised Contacts. Please refer to the Authorised Contact QRG for more information.

Definitions

Single Touch Payroll (STP) Lodgements

- **Single Touch Payroll**
Single Touch Payroll is a new method of communicating with the Australian Taxation Office (ATO) and providing details of Payments made to, and amounts withheld, from Payees. This became effective on 1 July 2018 and is mandatory for every Employer with 20 or more Employees. This is currently applicable only to 'PAYG' employees. To accommodate this functionality, 2cloudnine Payroll generates records specifically for this purpose based on existing data. These Single Touch Payroll records will form the basis of the messages that are sent to SuperChoice, who will submit data to the ATO.
- **Single Touch Payroll Phase 2**
The Single Touch Payroll reporting framework that the ATO introduced in 2018 has been expanded to provide a greater level of detail in the STP lodgements that you send to the ATO. This new reporting phase is commonly referred to as STP2 or Single Touch Payroll (Phase 2).
- **Pay Events**
Whenever an Employer makes a payment to a Payee that is subject to PAYG withholdings, they are required to lodge a Pay Event with the ATO on or before the date payment is made. This is inclusive of when the amount of withholding is 'nil/0' (for example, where the Payee gross income is below the tax-free threshold) and where the Payee has no net pay (for example, where the employee is repaying an advance or overpayment to the Employer, voluntarily foregoing their net pay). All Pay Batches that are Payment File Released must have a Pay Event created and lodged with the ATO, to ensure the Update Events will refer to the most recent data.
- **Update Event**
The Update Event allows the Employer to report changes to Payee YTD amounts that have been previously reported. Update Events are only used when the Payee is not impacted with additional salary or tax. It is used to align the latest Employer payroll data with the last Payee data reported to the ATO, or to assist with End Of Financial Year processes, including finalisation and amendments for prior finalised years. After 30 June, any changes made to reported Payee data for the prior financial year must only be submitted through the Update Event. The Update Event cannot be used to update TFN Declaration details.

- **Full File Replacements**

A Full File Replacement provides the ability for an Employer to replace the latest Pay Event file that was sent to the ATO in error or contains significant corrupt data. This function allows users to correct any erroneous data and submit it to the ATO within 24 hours of the original lodgement.

General Overviews

STP Lodgement Status Defined

- **Create a lodgement**

- **New**

A new Lodgement record has been created but no further validation or sending has occurred.

- **Validate a lodgement**

- **Validating**

The Validation Process is in progress.

- **Validated**

The Lodgement record is successfully Validated and you can send your lodgement to the ATO.

- **Validate Failed**

Validation errors were encountered during the process. Review the errors and run the Validation process again.

- **Delete lodgement**

- **Deleting**

The Deletion process is in progress.

- **Delete Failed**

Technical errors were encountered and the data was not deleted.

- **Complete lodgement**

- **Sending to ATO**

The lodgement record is being sent.

- **SuperChoice Validation Failed**

The SuperChoice has further validated your lodgement before sending it to the ATO and identified data errors.

- **Confirmed**

The lodgement has been successfully received by the ATO but has not yet been successfully processed.

- **API/System Error**

An API/System Error was encountered during the Send to ATO process and your data has not been sent.

- **Retrieving from ATO**

2cloudnine Payroll is currently polling for a processing update from the ATO.

- **Completed**

Your lodgement has been successfully processed by the ATO.

- **Warning**
The ATO has processed your lodgement but warning messages have been received.
- **Rejected**
The ATO has not processed your lodgement and a rejection reason has been provided.
- **Cancelled**
The ATO has cancelled your lodgement and the 72-hour processing window has expired.

System Process Outlines

- To use the Single Touch Payroll Lodgement functionality, you must ensure each Payment Entity is registered with SuperChoice. With this, registration of the Sandbox Org is required with the TEST environment of SuperChoice, and then a separate registration is needed for Production to go to the SuperChoice Production. You may be required to provide a list of employees who can submit lodgements as well as creating them as an Authorised Contact for each Payment Entity. When registration is completed, please ensure you notify your Project Manager/Consultant so they can confirm this has been done correctly before proceeding.
- Before starting a new Lodgement, Payroll users submitting the data to the ATO via Lodgements, must be set up as Authorised Contacts to provide them with adequate access. Please refer to the Authorised Contact QRG for more information.
- On clicking the Create Lodgments option, Lodgement AU records and Lodgment Item AU records are created.
- Lodgement records act as a header for the complete dataset that is sent to the ATO.
- Based on the end-user selection criteria being met, if suitable Payee records are found, a Lodgement Item AU record is created for each Payee record that is included in the Pay Batch. Details relating to its associated Payee Withholding records are also included in Pay Events.
- For the STP Lodgements to submit successfully, please ensure the Payee's Contact Record is complete (including Country). Open the relevant Payee record, click on the Employee record, and enter the address details under the heading 'Address Information' if they are missing, or update the address details if they are incorrect.
- After the creation of the Lodgement Item AU records, invoke the 'Validation' process to ensure the data in the Lodgement Item AU records are acceptable by the ATO. The ATO provides its validation logic for multiple data accuracy failures.
- An end-user cannot edit the Lodgement and/or the Lodgement Item and/or the Lodgement Error AU records, but instead, will have to make the necessary amendments on the Account, Contact, Payee, or Payee Withholding records and revalidate the Lodgement AU record.
- When either the Get Response button is pressed or the scheduled job related to the 'Get Response' runs to retrieve the ATO response, it can only update the Lodgement AU status to Completed when all of its related Lodgement Item AU records have been updated to Completed.
- Through the Single Touch Payroll - Update Event, the Australian Taxation Office allows end-users to submit a small set of amended data where:
 - An end-user has identified data corrections that are required before the next regular Pay Event is submitted
 - An end-user is required to submit a 'Final Event Indicator' for one or more payees and they will not be included in future Pay Events for that specific financial year.
 - An end-user wishes to submit or amend FBT values that have not previously been recorded in the payroll system.

Further Information

Document	Document Type	Description
Quick Reference Guide Index - STP and SuperStream Lodgements	Index	An index document that lists and provides links to all Quick Reference Guides relating to Single Touch Payroll and SuperStream Lodgements.
QRG Single Touch Payroll (STP) Lodgements - Pay Event	Process Instructions	Step-by-step instructions on how to create a new Single Touch Payroll Lodgement. This includes creating new and editing existing Single Touch Payroll Lodgements.
QRG Single Touch Payroll (STP) Lodgements - Update Event	Task Instructions	How to create and send STP Update Event Lodgements to the ATO, including those required for End Of Year Processing.
Authorised Contacts	Task Instructions	How to create Authorised Contacts.